

of pension—similar to the defined benefit pension I described previously—as you transition into retirement.

I don't mean to single out GM, because it is not the only company taking this course of action. Indeed, it is difficult to miss the evidence of the decline of traditional private-sector defined benefit (DB) pensions. Countless company press releases, government studies, and scholarly reports have been documenting that DB plans are being frozen, replaced, and converted into defined contribution (DC) plans such as 401(k), 403(b), and other hybrid structures. This is the new reality of personal finance. The responsibility is shifting to you.

The Continued Decline of DB Plans

Like General Motors, companies like Lockheed (October 2005), Motorola (December 2005), Verizon (December 2005), IBM (January 2006), Sprint Nextel (January 2006), Dupont (August 2006), NCR (September 2006), Whirlpool (November 2006), and Citigroup (November 2006) have all taken similar actions. These companies—and many more—no longer offer a traditional defined benefit pension to their new employees. In many cases, they have frozen or terminated the pension accruals for existing employees as well as new employees, which means that even current members of the pension plan will no longer be entitled to any more credit-years beyond those they have already accrued.

To put this trend in perspective, a recently released survey by the Employee Benefits Research Institute (EBRI) claims that one-third of all pension plan sponsors in the U.S. with “open” plans—that is, pension plans that still accept new members—are thinking about freezing their DB plan in the next few years. From a different perspective, according to Watson Wyatt, way back in 1985 a total of 89 out of the largest 100 companies in the U.S. offered a traditional DB pension to their newly hired employees. The vast majority offered traditional pensions. By 2002, this number dropped to 50 out of 100 companies, and in 2005 it was down to 37 out of 100. My hunch is that when the 2008 figures are released, this number might be in the single digits.